

Grain Topco Limited

Strategic Report, Director's Report and Financial Statements
Registered Number 13572366
28 February 2023

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Company information

Directors	Henry McGovern Luke Johnson Tom Molnar Bradley Palmer
Registered office: Grain Topco Limited	11th Floor 200 Aldersgate Street London EC1A 4HD
Registered offices for subsidiary undertakings:	
Grain Midco Limited	11th Floor, 200 Aldersgate Street, London, EC1A 4HD
Grain Bidco Limited	11th Floor, 200 Aldersgate Street, London, EC1A 4HD
Bread Holdings Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Bread Acquisitions Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Bread Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Bread Factory Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Gail's Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
The Bread Roll Holding Company Limited*	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
The Bread Roll Company Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
DSV Holdings Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
The Bertinet Bakery Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Wild Thexton Gluten Free Limited	Unit 12, Garrick Road Industrial Estate, Irving Way, Hendon, London, NW9 6AQ
Auditor	KPMG LLP 58 Clarendon Road Watford WD17 1DE
Company number	13572366

*The Bread Roll Holding Company Limited was dissolved on 13th December 2022.

Strategic Report

The Group's focus lies upon opening new neighbourhood bakeries within the UK and maintaining a strong team of supporting professionals and craft bakers dedicated to developing our bakery business.

The wholesale market is very competitive and growth can only be achieved by continuing to offer existing customers the highest levels of service and quality at reasonable prices, whilst attracting new customers with an unparalleled quality of ingredients and products. The Group have leveraged use of existing ranges and brand names to establish revenue streams within several major UK supermarkets.

The retail business (GAIL's) continues to be the faster growing and more profitable part of the group. But, the market also remains very competitive and the Group recognises that to be able to grow it must continue to provide innovative world-class food in attractive neighbourhood bakeries, the number of these retail bakeries grew by 28 in the year, including the first opening outside of the South East of England, in Manchester.

The Group's key performance indicators focus upon divisional turnover and Group profitability. Divisional turnover in the year was as follows:

	12 months to 28 Feb 2023	5 months to 28 Feb 2022
Wholesale	70,243,808	25,250,895
Retail	135,304,482	45,487,272
Eliminations***	<u>(23,769,048)</u>	<u>(8,648,596)</u>
Group	<u>181,779,242</u>	<u>62,089,571</u>

***Made up of intercompany sales in the year that have been eliminated on consolidation.

Business overview

Over the year, trading was strong – with the Group opening 28 new retail bakeries and continuing to see healthy growth in the established locations. In addition, the wholesale part of the business continued to grow its large Food Service business – from its bakeries in London, Manchester, and Bath; and due to the continued success of the brands produced and sold through several large UK supermarket businesses.

The group continues to invest in new retail openings (28 in FY23 and a similar number planned in FY24) these will be across a widening geographic area within the UK. In addition to the retail space, investments in production capabilities were made in the year – particularly the opening of a new production bakery in Milton Keynes, acquired in August 2022.

Top line growth in both businesses remains the primary engine of the Group's profit and EBITDA performance.

The GP margin fell by 6% YoY, primarily due to cost pressures, which remain an ongoing focus across the group. During the year under review, commodity prices rose significantly as international unrest resulted in disruptions across global supply chains. This led to a substantial impact on ingredient prices, particular key ingredients such as butter, flour and sugar. Management have already noted a fall in commodity prices over the first 5 months of the new financial year, leading to optimism that costs will continue to fall and stabilise.

During the year, the group entered into a SWAP arrangement against the bank loan, effectively fixing debt related interest payments. This led to a gain of £1.2m in the year (see financial income – note 6).

Strategic Report (*continued*)

Profit before tax to EBITDA reconciliation

		12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Loss before tax		(12,899)	(9,916)
+ Depreciation	8	15,187	2,267
+ Amortisation	9	3,101	1,515
+ Net Financing expense	6	24,425	9,509
EBITDA		<u>29,814</u>	<u>3,375</u>
+ Store pre-opening costs***		<u>2,062</u>	<u>441</u>
Adjusted Group EBITDA		<u>31,876</u>	<u>3,816</u>

***Store pre-opening costs relate to administrative expenses and labour costs of the retail outlets incurred prior to the individual stores open for trading.

Principal risks and uncertainties

The principal risks and uncertainties facing the group are as follows:

Bakery Capacity

Matching capacity to customer needs and product development is an ongoing challenge for the business – this balancing of supply and demand has led to the investment in, and opening of, a new bakery in Milton Keynes. This change should enhance our ability to supply high quality baked product to our customers while supporting our continued drive to operate an efficient wholesale business to the highest standards.

Competitive risk

- actions by competitors
- changes in customer preferences, perception and/or spending, and use of technology

Legislative risk

All relevant legislative and regulatory changes are closely monitored and the directors have consultations with the relevant professionals on a regular basis.

Financial management risk

The Group has established a management framework whose primary objective is to protect the Group and company from events that hinder the achievement of the Group's performance objectives. The Group has three objectives:

- to ensure sufficient working capital exists for the company's purposes,
- to minimise the amount of any borrowings, and
- to monitor credit to customers and the balances outstanding to ensure the Group's payment terms are adhered to thereby minimising the credit, liquidity and cash flow risk

Liquidity risk and cash flow risk

The Group aims to mitigate liquidity and cash flow risks by monitoring cash collection targets throughout the Group and monitoring banking facilities on a regular basis.

Treasury activities are delegated by the Board to the Chief Finance Officer ("CFO"). The CFO controls policy and performance through the line management structure to the Group Financial Controller ("GFC"). The CFO and GFC meet quarterly to discuss the treasury policy.

Strategic Report (*continued*)

The Group's debt management policy is to provide an appropriate level of funding to finance the Business Plan over the medium term at a competitive cost and ensure flexibility to meet the changing needs of the Group. Details of the Group's current borrowing facilities are contained in note 15.

Financial instruments

Treasury policy

The Group's main focus is to:

- Ensure adequate funding and liquidity for the Group;
- Manage the interest risk of the Group's debt;
- Invest surplus cash and;
- Manage the clearing bank operations of the Group;

The key risks that the Group faces from a treasury perspective are as follows:

- ***Market risk***

The Group's exposure to market risk predominantly relates to interest and commodity risk. Interest risk is discussed further below. Commodity risk is due to the Group's products being manufactured from flour and other raw materials, and therefore subject to price fluctuation. The Group mitigates this risk through its close relationships with its supply base, and its knowledge and experience of the marketplace.

- ***Climate change risk***

In the current environment, the Group is exposed to the potential price volatility of commodities. Droughts, brought upon by global warming, could represent an increasing risk to business, as fewer acres of grain may be planted, and the volume and quality of yields could decrease. This could in turn contribute to supply and demand scenarios that could mean higher costs of producing bakery goods.

- ***Interest rate risk***

The Group's policy aims to manage the interest cost of the Group within the constraints of the Business Plan and its financial covenants. The Group's borrowings have a fixed premium over SONIA. The Group took out an interest rate SWAP on an amount equal to its total bank loans during the year effectively removing interest rate risk for the next 4 years. Further disclosure details on the interest rate SWAP can be found in note 15. Interest rate movements on deposits, obligations under finance leases, trade payables, trade receivables, and other financial instruments do not present a material exposure to the Group's balance sheet.

- ***Capital risk management***

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Group manages capital by operating within a debt ratio. This ratio is Total Bank Debt to Consolidated EBITDA.

- ***Fair value disclosures***

The fair values of each class of financial assets and liabilities (i.e. trade receivables, trade payables and finance lease obligations, short term deposits and borrowings) approximates to the carrying amount.

- ***Pension liability risk***

The Group has no association with any defined-benefit pension scheme and therefore carries no deferred, current or future liabilities in respect of such a scheme.

- ***Going concern***

Notwithstanding a loss for the year amounting to £15.4m, the financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

Strategic Report (*continued*)

Trading performance in the financial year is strong and business generated net cashflow amounting to £30 million from operating activities during the year. In order to complete the going concern assessment, the Directors have prepared a base cash flow forecast for the period up to 28 February 2025 and then a second forecast taking into account plausible downside scenarios on the operations and financial resources of the Group and Company. The conclusion of this is that the Group will have sufficient funds to meet its liabilities as they fall due during that period.

In looking at a severe downside, the Directors have considered a scenario in which they have considered:

- 5% reduction in revenue from Gail's; and
- 10% increase in ingredients prices

The revenue reduction modelling is accompanied by a restriction in new shop openings, a reduction in the level of capital expenditure, and restrictions on some central costs.

The Group is funded by a combination of available cash balances, external bank loan funding and Preference shares and is subject to financial covenants in relation to the bank loans. The Directors have assessed the Group's ability to comply with these financial covenants based on the forecasts described above and concluded that the Group will be in compliance even in the plausible downside scenario.

The directors also note that the external bank loans of £109m are not repayable until 2028 with a fixed rate SWAP contract in place, meaning that interest costs are largely fixed despite Bank of England interest rate increases.

Consequently, the Directors are confident that the Group and Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

S172(1) statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. As such, Section 172 requires a director to have due regard, amongst other matters, to the:

- Likely consequences of any decisions in the long-term;
- Interests of the company's employees;
- Need to foster the company's business relationships with suppliers, customers and others;
- Impact of the company's operations on the community and environment;
- Desirability of the company maintaining a reputation for high standards of business conduct; and
- Need to act fairly as between members of the company

The Directors of Grain Topco Limited are actively committed to sustainable growth & development in order to promote the success of the Group, and for the benefit of all its stakeholders. Key strategic decisions are underpinned by the principle of S172 factors, which help to maintain long term strategic decision making.

The Group seeks to serve its customers' and their best interests first, collaborate with its suppliers to ensure a sustainable and fair supply of goods & services, invests in its employees to promote long term success & retention and supports the communities and environments in which it operates in order to generate sustainable profits.

Strategic Report (*continued*)

The Directors have acted in accordance with their duties codified in law, which include their duty to act in the way in which they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, having regard to the stakeholders and matters set out in section 172(1) of the Companies Act 2006. We have set out below some examples of how the directors have had regard to the matters set out in Section 172(1)(a) to (f) of the Companies Act 2006 when discharging their Section 172 duties:

Customers and their needs: Our sales team build long lasting relationships with current and potential clients to understand their needs and requirements. Regular contact is maintained with all our customers, and our product range is actively managed and maintained by our Trading Director to ensure sustainable products are produced for our customers.

Consider impact of operations on the community: With an aim to keep surplus food to a minimum, we work with many local charities to ensure that any surplus food from our retail stores is donated to people who need it within the communities in which we are a part.

Consider consequences on the environment: As a group we take seriously our role in the local neighbourhoods we operate in and the wider UK Food Production and Service of which we are a growing part; to make our contribution a positive one we continue to push forward in a number of areas including: reusing food where we can to reduce our wastage, reduce our usage of non-recyclable packaging and energy – including growing our electric fleet and being in the process of adding significant solar panels to our largest production bakery. We continue to strive to do more in this important area and partner with organisations that share our ethos.

By order of the board



T Molnar
Director

11th Floor
200 Aldersgate Street
London
EC1A 4HD

30 July 2023

Director's report

Principal activities

The principal activity of the company is that of a holding company.

The principal activity of the Group during the year was that of a wholesale bakery (The Bread Factory Limited and The Bertinet Bakery Limited), retail outlets (Gail's Limited) and a gluten free only bakery (Wild Thexton Gluten Free Limited).

Proposed dividend

The directors do not recommend the payment of a dividend.

Directors

The directors who held office during the year and up to the date of this report were as follows:

Henry McGovern
Luke Johnson
Tom Molnar
Bradley Palmer

Employment of disabled persons

The Group is committed to a policy of recruitment and promotion on the basis of aptitude and ability without discrimination of any kind. Management actively pursues both the employment of disabled persons whenever a suitable vacancy arises and the continued employment and retraining of employees who become disabled whilst employed by the Group. Particular attention is given to the training, career development and promotion of disabled employees with a view to encouraging them to play an active role in the development of the Group.

Employee involvement

Within the bounds of commercial confidentiality, information is disseminated to all members of staff about matters that affect the progress of the Group and are of interest and concern to them as employees.

Political contributions

Neither the Company nor any of its subsidiaries made any political donations or incurred any political expenditure during the current year.

Greenhouse Gas Emissions

During the year the Group undertook the following energy efficiency actions:

- Maintained a formal Energy Policy
- Review of existing fleet for efficiency and compliance with Ultra Low Emission Zone (ULEZ) criteria
- Purchases of electric vehicles and further review of future vehicle purchases and inclusion into the fleet
- Recording and monitoring accurate fuel consumption and mileage data for fleet
- Reduction of non-recyclable packaging and energy – includes the addition of solar panels to the new bakery post year end.

The following table details the Group's emissions data for the year:

	Year ended 28 February 2023	Period ended 28 February 2022
UK energy use	26,090,274 kWh	11,411,537 kWh
Electricity	15,392,045 kWh	5,675,531 kWh
Gas	7,791,433 kWh	3,687,873 kWh
Transport	2,906,796 kWh	2,048,133 kWh
Associated Greenhouse gas emissions	5,069.23 tCO ₂ e	2,355.47 tCO ₂ e
Intensity ratio: tCO ₂ e / £1,000,000 revenue	27.89	37.94

Director's report (*continued*)

UK energy use covers the production and transportation of baked products in addition to the day-to-day business operations across the Group. Energy use has been calculated via electricity and gas invoices. Consumption data relating to business travel in leased company cars has not been collected as this travel is minimal.

Associated Greenhouse gases have been calculated using the UK government published emissions factor for the relevant reporting year.

Sustainability Agenda

The business understands the importance of making a meaningful contribution to the environment and to improving the UK's food system. We have approached this responsibility in the following ways:

1. Work with (and encourage the growth of) good actors in farming, distribution and wholesale supply chains, e.g. we are actively sourcing flour from regenerative sources, sourcing our coffee from known growing cooperatives and purchasing ingredients from small premium ingredient suppliers and producers while providing technical and planning support.
2. Improve our own operations to reduce our environmental impact, e.g. we are increasing our fleet of fully electric delivery vans to four, installing solar panels on the rooftop of our Milton Keynes bakery, reviewing transport intensity, buying home compostable packaging and takeaway cutlery and cups for most retail needs, setting higher targets for our recycling and installing electricity usage monitors where viable.
3. Take action to help our communities, e.g. continue to make our end of day extras available to local charities in need (~80% of our nights are being covered) and planning a series of food nutrition and sourcing comms to help our customers understand the food landscape and their own choices better.

Corporate Governance

Purpose and Leadership

Grain Topco believes its purpose is to improve the availability of high-quality bakery products in the communities that we serve.

The Board and Director Responsibilities

The Board takes a number of steps to ensure that when making decisions there is sufficient regard to Key stakeholders.

The board continues to engage in understanding the corporate governance needed to promote balanced decision-making and will look to the inclusion of all stakeholder interests in its ongoing decision-making.

The Board consists of executive directors, non-executive directors and shareholder representatives. The Board has 12 scheduled meetings every year with additional meetings scheduled as required. The Board receives regular and timely information on all key aspects of the business. Day-to-day running of the business is delegated by the board to the executive leadership team.

The Board also maintains a conflict of interest register to ensure that decisions are made independently. The board has established approved terms of reference for the audit committee. The audit committee assist in the board responsibilities regarding financial reporting and overseeing the performance and independence of its external auditors. Membership of the audit committee consists of an executive and three non-executive directors.

Operational risks and principal areas of uncertainty are set out in the strategic report under the section in charge of principal, risks, and uncertainties. The CFO is required to give regular updates around group risk to the board.

Director's report (continued)

Remuneration

The current remuneration policy is that the CEO salary is recommended by the chairman; executive directors and other executive management salaries are in turn recommended by the CEO and approved by the Remuneration Committee – comprising the Chairman, CEO and principal shareholders. The same principle is cascaded down throughout management; the chairman's salary is set by the major shareholders.

Executive director and senior management performance is assessed against both financial and non-financial targets.

Non-financial targets

Included within the core key performance indicators are its commitment to 100% recyclable or home compostable packaging. The organisation is currently at 81%. It is also aiming to send 60% of its waste to recycling or composting facilities. The entities within the group strive to be great places to work within the industry, and recent "best companies" surveys result in 84% of staff agreeing that their team was "fun to work with".

Disclosure of information to auditor

The directors who held office at the date of approval of this directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

The directors are responsible for preparing the Strategic Report, the Directors' Report and the group and parent company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare group and parent company financial statements for each financial year. Under that law they have elected to prepare the group financial statements in accordance UK-adopted international accounting standards and applicable law and have elected to prepare the parent company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



T Molnar
Director

11th Floor
200 Aldersgate Street
London
EC1A 4HD

30 August 2023

Statement of directors' responsibilities in respect of the Strategic Report, the Directors' Report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the Group and parent Company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare Group and parent Company financial statements for each financial year. Under that law they have elected to prepare the Group financial statements in accordance with UK-adopted international accounting standards and applicable law and have elected to prepare the parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and parent Company and of the Group's profit or loss for that period. In preparing each of the Group and parent Company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable, relevant, reliable and prudent;
- for the Group financial statements, state whether they have been prepared in accordance with UK-adopted international accounting standards;
- for the parent Company financial statements, state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Grain Topco Limited

Opinion

We have audited the financial statements of Grain Topco Limited ("the company") for the year ended 28 February 2023 which comprise the Consolidated Income Statement, Consolidated Statement of Other Comprehensive Income, Consolidated Balance Sheet, Consolidated Statement of Changes in Equity, Consolidated Cash Flow Statement, Company Balance Sheet, Company Statement of Changes in Equity and related notes, including the accounting policies in note 1.

In our opinion:

- the financial statements give a true and fair view of the state of the group's and of the parent company's affairs as at 28 February 2023 and of the group's loss for the year then ended;
- the group financial statements have been properly prepared in accordance with UK-adopted international accounting standards;
- the parent company financial statements have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the group or the company or to cease their operations, and as they have concluded that the group and the company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the group's business model and analysed how those risks might affect the group and company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the group or the company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the group or the company will continue in operation.

Independent auditor's report to the members of Grain Topco Limited (continued)

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud (“fraud risks”) we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the group’s high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading minutes of Board meetings.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards and taking into account possible pressures to meet profit and covenant targets and our overall knowledge of the control environment, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. We have rebutted the fraud risk related to revenue recognition due to the low value of individual revenue transactions, meaning that in order for revenue to be materially misstated a significantly large number of individual revenue transactions have to be affected.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test for all full scope components based on risk criteria and comparing the identified entries to supporting documentation. These included revenue and cash journal entries posted to unexpected accounts.
- Assessing whether the judgments made in making accounting estimates are indicative of a potential bias.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience through discussion with the directors and other management (as required by auditing standards) and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or the loss of group’s license to operate. We identified the following areas as those most likely to have such an effect: Agency Worker Regulation 2010, National Minimum Wage, Working Time Regulation, Part-Time Workers (Prevention of Less Favourable Treatment) Regulations 2000, Health & Safety legislations, anti-bribery, data protection laws and environmental legislation recognising the nature of group’s activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Independent auditor's report to the members of Grain Topco Limited (continued)

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 10, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the group and parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements. A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Mark Smith (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
58 Clarendon Road
Watford
United Kingdom
WD17 1DE

Date: 30 August 2023

Consolidated Income Statement

for year ended 28 February 2023

	Note	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Revenue	2	181,779	62,090
Cost of sales		(110,784)	(34,104)
Gross profit		<u>70,995</u>	<u>27,986</u>
Other operating income	3	26	20
Administrative expenses		(59,495)	(28,413)
Operating profit / (loss)		<u>11,526</u>	<u>(407)</u>
Financial income	6	1,267	-
Financial expenses	6	(25,692)	(9,509)
Net financing expense	6	<u>(24,425)</u>	<u>(9,509)</u>
Loss before tax		<u>(12,899)</u>	<u>(9,916)</u>
Taxation	7	(2,502)	(1,306)
Loss for the year/period		<u><u>(15,401)</u></u>	<u><u>(11,222)</u></u>
Attributable to:			
Equity holders of the parent		(15,502)	(11,245)
Non-controlling interest		101	23
Loss for the year/period		<u><u>(15,401)</u></u>	<u><u>(11,222)</u></u>

The results above derive from continuing operations.

The related notes on pages 19 to 41 form part of these financial statements.

Consolidated Statement of Other Comprehensive Income

for year ended 28 February 2023

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Loss for the year/period	(15,401)	(11,222)
Other comprehensive income		
<i>Items that will not be reclassified to profit or loss</i>	-	-
	-	-
<i>Items that are or may be reclassified subsequently to profit or loss</i>	-	-
	-	-
Other comprehensive income for the year/period, net of income tax	-	-
Total comprehensive income for the year/period	(15,401)	(11,222)

The related notes on pages 19 to 41 form part of these financial statements.

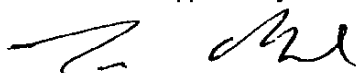
Consolidated Balance Sheet

at 28 February 2023

	Note	2023 £000	2022 £000
Non-current assets			
Property, plant and equipment	8	46,240	32,928
Right of use asset	8	49,605	43,464
Intangible assets	9	191,781	194,543
		<u>287,626</u>	<u>270,935</u>
Current assets			
Inventories	11	2,505	1,804
Trade and other receivables	12	8,097	7,340
Cash and cash equivalents	13	8,767	15,271
Other investments, including derivatives	6,19	1,216	-
		<u>20,585</u>	<u>24,415</u>
Total assets		<u><u>308,211</u></u>	<u><u>295,350</u></u>
Current liabilities			
Trade and other payables	16	(21,231)	(16,833)
Lease liabilities	14,16	(4,456)	(3,081)
Tax payable	16	(4,944)	(5,321)
		<u>(30,631)</u>	<u>(25,235)</u>
Non-current liabilities			
Other interest-bearing loans and borrowings	15	(228,294)	(214,893)
Provisions	17	(517)	(517)
Lease liabilities	14	(49,767)	(41,417)
Deferred tax liabilities	10	(17,035)	(15,971)
		<u>(295,613)</u>	<u>(272,798)</u>
Total liabilities		<u><u>(326,244)</u></u>	<u><u>(298,033)</u></u>
Net liabilities		<u><u>(18,033)</u></u>	<u><u>(2,683)</u></u>
Equity attributable to equity holders of the parent			
Share capital	18	958	946
Share premium		7,721	7,612
Retained earnings		(26,747)	(11,245)
Non-controlling interest		35	4
Total equity		<u><u>(18,033)</u></u>	<u><u>(2,683)</u></u>

These financial statements were approved by the board of directors on 30 August 2023 and were signed on its behalf by:

T Molnar
Director



Company registered number: 13572366

The related notes on pages 19 to 41 form part of these financial statements.

Consolidated Statement of Changes in Equity

	Share capital £000	Share premium £000	Retained Earnings £000	Non- Controlling Interest £000	Total equity £000
Balance at 1 March 2022	946	7,612	(11,245)	4	(2,683)
Total comprehensive income for the year					
Loss for the year	-	-	(15,502)	101	(15,401)
Total comprehensive income for the year	-	-	(15,502)	101	(15,401)
Transactions with owners, recorded directly in equity					
Issue of shares (<i>note 18</i>)	12	109	-	-	121
Dividends paid	-	-	-	(70)	(70)
Total contributions by and distributions to owners	12	109	-	(70)	51
Balance at 28 February 2023	958	7,721	(26,747)	35	(18,033)

The related notes on pages 19 to 41 form part of these financial statements.

Consolidated Cash Flow Statement

for the year ended 28 February 2023

	Note	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Cash flows from operating activities			
Loss for the year		(15,401)	(11,222)
<i>Adjustments for:</i>			
Depreciation, amortisation and impairment	4, 8, 9	18,288	6,203
Financial expense	6	25,692	9,509
Financial income	6	(1,267)	-
Taxation	7	2,502	1,306
		29,814	5,796
(Increase)/decrease in trade and other receivables	12	(757)	2,608
Increase in inventories	11	(699)	(312)
Increase/(decrease) in trade and other payables	16	3,462	(5,829)
Provisions	17	-	(35)
		31,820	2,228
Tax (paid)/received		(1,815)	611
Net cash from operating activities		30,005	2,839
Cash flows from investing activities			
Interest paid		(9,219)	-
Acquisition of intangibles	9	(339)	(83)
Acquisition of subsidiaries, net of cash acquired		-	(134,754)
Acquisition of property, plant and equipment	8	(22,231)	(6,387)
Net cash used in investing activities		(31,789)	(141,224)
Cash flows from financing activities			
Proceeds from issue of shares	18	121	5,508
Proceeds from issue of preference shares		-	108,179
Repayment of borrowings	15	(43,466)	(22,438)
Proceeds of new bank loan		45,266	63,700
Payment of obligations under finance lease	14	(6,571)	(1,293)
Payment of dividend to NCI		(70)	-
Net cash (used in) / from financing activities		(4,720)	153,656
Net (decrease) / increase in cash and cash equivalents		(6,504)	15,271
Cash and cash equivalents at 1 March		15,271	-
Cash and cash equivalents at 28 February		8,767	15,271

The related notes on pages 19 to 41 form part of these financial statements.

Notes (forming part of the financial statements)

1. Accounting policies

Grain Topco Limited is a company incorporated and domiciled in the UK.

The Group financial statements consolidate those of the Company and its subsidiaries (together referred to as the "Group") and equity account the Group's interest in jointly controlled entities. The parent company financial statements present information about the Company as a separate entity and not about its Group.

The Group financial statements have been prepared and approved by the directors in accordance UK-adopted international accounting standards ("UK-adopted IFRS"). The Company has elected to prepare its parent company financial statements in accordance with FRS 102; these are presented on pages 42 to 47.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all years presented in these Group financial statements.

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 1.3.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Going concern

Notwithstanding a loss for the year amounting to £15.4m, the financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

Trading performance in the financial year is strong and business generated net cashflow amounting to £30 million from operating activities during the year. In order to complete the going concern assessment, the Directors have prepared a base cash flow forecast for the period up to 28 February 2025 and then a second forecast taking into account plausible downside scenarios on the operations and financial resources of the Group and Company.

The conclusion of this is that the Group will have sufficient funds to meet its liabilities as they fall due during that period.

In looking at a severe downside, the Directors have considered a scenario in which they have considered:

- 5% reduction in revenue from Gail's; and
- 10% increase in ingredients prices

The revenue reduction modelling is accompanied by a restriction in new shop openings, a reduction in the level of capital expenditure, and restrictions on some central costs.

The Group is funded by a combination of available cash balances, external bank loan funding and Preference shares and is subject to financial covenants in relation to the bank loans. The Directors have assessed the Group's ability to comply with these financial covenants based on the forecasts described above and concluded that the Group will be in compliance even in the plausible downside scenario.

The directors also note that the external bank loans of £109m are not repayable until 2028 with a fixed rate SWAP contract in place, meaning that interest costs are largely fixed despite Bank of England interest rate increases.

Consequently, the Directors are confident that the Group and Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Notes (continued)

1. Accounting policies (continued)

1.3 Basis of consolidation

Subsidiaries

Subsidiaries are entities controlled by the Group. Control exists when the Group has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable. The acquisition date is the date on which control is transferred to the acquirer. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated. Unrealised gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

1.4 Significant judgements and estimates in applying the Group's accounting policies

There are no judgments made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.5 Impairment of non-financial assets excluding inventories and deferred tax assets

The carrying amounts of the Company's non-financial assets, other than goodwill are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units, or ("CGU"). Subject to an operating segment ceiling test, for the purposes of goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment is tested reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to groups of CGUs that are expected to benefit from the synergies of the combination.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

The recoverable amounts of the CGUs to which goodwill has been allocated is derived from estimates of future cash flows and the impairment testing of goodwill is also subject to these estimates. The detail around the key estimates is included in note 9.

Notes (continued)

1. Accounting policies (continued)

1.5 Joint venture

A joint venture is an arrangement over which the Group and one or more third parties share the risks and rewards of the arrangement. The Group has considered who exercises power over the joint venture, Wild Thexton Gluten Free Limited ("investee"); exposure and rights to variable returns and; the ability to use power over the investee to affect these returns. The Group consider that they control the investee and as such have accounted for it under the same principle as a subsidiary.

1.6 Foreign currency

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Foreign exchange differences arising on translation are recognised in the income statement. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined.

1.7 Classification of financial instruments issued by the Group

Following the adoption of IAS 32, financial instruments issued by the Group are treated as equity only to the extent that they meet the following two conditions:

- they include no contractual obligations upon the group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the group; and
- where the instrument will or may be settled in the company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the company's own equity instruments or is a derivative that will be settled by the company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

1.8 Non-derivative financial instruments

Non-derivative financial instruments comprise investments in equity and debt securities, trade and other receivables, cash and cash equivalents, loans and borrowings, and trade and other payables.

Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

Trade and other payables

Trade and other payables are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Notes (continued)

1. Accounting policies (continued)

1.9 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses.

Where parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property, plant and equipment.

Depreciation is charged to the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. The estimated useful lives are as follows:

• short leasehold and leasehold improvements	shorter of the life of the lease and the life of the asset
• freehold property	50 years
• plant and equipment	5 years
• fixtures and fittings	5 years
• motor vehicles	5 years
• computer equipment	3 years

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.10 Business combinations

All business combinations are accounted for by applying the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- the fair value of the existing equity interest in the acquiree; less
- the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

Costs related to the acquisition, other than those associated with the issue of debt or equity securities, are expensed as incurred.

1.11 Intangible assets and goodwill

Goodwill

Goodwill arises on the acquisition of a business and represents the excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition date fair value of any previously held equity interest in the acquiree over the fair value of the net assets acquired.

Goodwill is stated at cost less any accumulated impairment losses. Goodwill is allocated to cash-generating units and is not amortised but is tested annually for impairment. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment in the investee.

Research and development

Expenditure on research activities is recognised in the income statement as an expense as incurred.

Notes (continued)

1. Accounting policies (continued)

Other intangible assets

Expenditure on internally generated goodwill and brands is recognised in the income statement as an expense as incurred.

Other intangible assets that are acquired as part of a business combination are capitalised separately from the goodwill at fair value if those assets are separately identifiable and their fair value can be measured reliably. Intangible assets are stated at cost less accumulated amortisation and accumulated impairment losses.

Amortisation

Amortisation is charged to the income statement on a straight-line basis over the estimated useful lives of intangible assets unless such lives are indefinite. Intangible assets with an indefinite useful life and goodwill are systematically tested for impairment at each balance sheet date. Other intangible assets are amortised from the date they are available for use. The estimated useful lives are as follows:

Brand	20 years
Customer related	10 years
Software	3 years

Fair value of intangibles on acquisition is calculated using an income approach utilising discounted cash flow forecasts.

1.12 Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is based on the first-in first-out principle and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs in bringing them to their existing location and condition.

1.13 Impairment excluding inventories

Financial assets (including receivables)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior years are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Notes (continued)

1. Accounting policies (continued)

Non-financial assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units, or ("CGU"). Subject to an operating segment ceiling test, for the purposes of goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment is tested reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to groups of CGUs that are expected to benefit from the synergies of the combination.

1.14 Post-retirement benefits

The Company operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The amount charged to the profit and loss account represents the contributions payable to the scheme in respect of the accounting year.

1.15 Provisions

A provision is recognised in the balance sheet when the Group has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.16 Expenses

Financing income and expenses

Financing expenses comprise interest payable. Borrowing costs that are directly attributable to the acquisition, construction or production of an asset that takes a substantial time to be prepared for use, are capitalised as part of the cost of that asset. Financing income comprise interest receivable on funds invested, dividend income, and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Dividend income is recognised in the income statement on the date the entity's right to receive payments is established. Foreign currency gains and losses are reported on a net basis.

1.17 Revenue

Revenue is measured at the fair value of the consideration received excluding discounts, rebates, VAT and other sales taxes and duty.

Notes (continued)

1. Accounting policies (continued)

1.18 Share-based payment transactions

Share-based payment arrangements in which the Group receives goods or services as consideration for its own equity instruments are accounted for as equity-settled share-based payment transactions, regardless of how the equity instruments are obtained by the Group.

The grant date fair value of share-based payment awards granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the year that the employees become unconditionally entitled to the awards. The fair value of the options granted is measured using an option valuation model, taking into account the terms and conditions upon which the options were granted. The amount recognised as an expense is adjusted to reflect the actual number of awards for which the related service and non-market vesting conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of awards that do meet the related service and non-market performance conditions at the vesting date.

1.19 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: the initial recognition of goodwill; the initial recognition of assets or liabilities that affect neither accounting nor taxable profit other than in a business combination, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

1.20 Leases

For any new contracts entered into, the Company considers whether a contract is, or contains a lease. A lease is defined as 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a year of time in exchange for consideration'.

To apply this definition the Group assesses whether the contract meets three key evaluations which are whether:

1. The contract contains an identified asset, which is either explicitly identified in the contract or implicitly specified by being identified at the time the asset is made available to the Group
2. The Group has the right to obtain substantially all of the economic benefits from use of the identified asset throughout the year of use, considering its rights within the defined scope of the contract
3. The Group has the right to direct the use of the identified asset throughout the year of use. The Group should assess whether it has the right to direct 'how and for what purpose' the asset is used throughout the year of use.

Initial measurement of the right-of-use asset

The cost of the right-of-use asset shall comprise:

- The amount of the initial measurement of the liability
- Any lease payments made at or before the commencement date, less any lease incentives received
- Any initial direct costs incurred by the Group as lessee (considering the materiality level); and
- An estimate of costs to be incurred by the Group in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories. The Group incurs the obligation for those costs either at the commencement date or because of having used the underlying asset during a particular year.

Notes (continued)

1. Accounting policies (continued)

Initial measurement of lease liability

At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:

- Fixed payments less any lease incentives receivable
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date (for example, payments linked to a consumer price index, payments linked to a benchmark interest rate (such as LIBOR) or payments that vary to reflect changes in market rental rates)
- Amounts expected to be payable by the Group under residual value guarantees

Payments of penalties for terminating the lease, if the lease term reflects the Group exercising an option to terminate the lease.

Subsequent measurement of the right-of-use asset

The Group as a lessee shall measure the right-of-use asset at cost by subtracting any accumulated depreciation and any accumulated impairment losses; and adjusted for any remeasurement of the lease liability.

After the commencement date, the Group shall remeasure the lease liability to reflect changes to the lease payments. The Group shall recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset. However, if the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, the Group shall recognise any remaining amount of the remeasurement in profit or loss. The Group shall remeasure the lease liability by discounting the revised lease payments using a revised discount rate, if either:

- Interest on the lease liability; and
 - Variable lease payments not included in the measurement of the lease liability in the year in which the event or condition that triggers those payments occurs
 - Any material amendment within the scope of the lease contract
- The company shall remeasure the lease liability by discounting the revised lease payments, if either:
- There is a change in the amounts expected to be payable under a residual value guarantee. The Group shall determine the revised lease payments to reflect the change in amounts expected to be payable under the residual value guarantee
 - There is a change in future lease payments resulting from a change in an index or a rate used to determine those payments, including for example a change to reflect an uplift in market rental rates following a market rent review. The Group shall remeasure the lease liability to reflect those revised lease payments only when there is a change in the cash flows (i.e., when the adjustment to the lease payments takes effect). The Group shall determine the revised lease payments for the remainder of the lease term based on the revised contractual payments.

On the consolidated balance sheet, right-of-use assets have been included in property, plant and equipment and lease liabilities have been included as a separate line item.

1.21 Adopted IFRS not yet applied

There are no new pronouncements or amendments to standards which were issued as at 28 February 2023 but are not yet effective and which are relevant to the Group.

1.22 Derivative financial instruments

Derivative financial instruments are recognised at fair value. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss.

Notes (continued)

2. Segmental analysis

The Group has the following 2 strategic divisions, which are its reportable segments. These divisions offer different products and services, and are managed separately because they require different technology and marketing strategies.

The following summary describes the operations of each reportable segment.

Reportable segments	Operations
Retail	Sales of baked goods via neighbourhood bakeries
Wholesale	Manufacture and distribution of baked goods to business

The Chief Executive Officer reviews internal management reports on a monthly basis, with performance being measured based on segmental revenues and the remaining operating result being measured on a consolidated basis. Performance is measured on this basis as management believes this information is the most relevant when evaluating the impact of strategic decisions.

Inter-segment transactions are entered into applying normal commercial terms that would be available to third parties. Other than revenues, the management reports reviewed by the Chief Executive Officer only consider the consolidated results, assets and liabilities of the group as a whole.

All revenues in the year arise from the sale of goods. All sales are made to customers in the UK.

Analysis by reportable segment

	Revenue 12 months to 28 Feb 2023 £000	Revenue 5 months to 28 Feb 2022 £000
Retail	135,304	45,487
Wholesale	70,244	25,251
Total	205,548	70,738
Elimination	(23,769)	(8,648)
Total	181,779	62,090

3. Other operating income

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Rental income	26	20

Notes (continued)

4. Expenses and auditor's remuneration

Included in operating profit are the following:

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Depreciation of tangible fixed assets	15,187	4,688
Amortisation of intangible assets	3,101	1,515
	<u> </u>	<u> </u>
Auditor's remuneration:		
	2023 £000	2022 £000
Audit of these financial statements:	182	159
Amounts receivable by the company's auditor and its associates in respect of: Audit-related assurance services	<u>8</u>	<u>8</u>

Amounts paid to the company's auditor and its associates in respect of services to the company, other than the audit of the company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis.

5. Staff numbers and costs

The average number of persons employed by the group (including directors) during the year, analysed by category, was as follows:

	12 months to 28 Feb 2023	5 months to 28 Feb 2022
Management	10	8
Administration	267	202
Production	2,465	2,046
	<u>2,742</u>	<u>2,256</u>
	<u> </u>	<u> </u>
The aggregate payroll costs of these persons were as follows:		
	£000	£000
Wages and salaries	63,458	22,199
Social security costs	5,559	1,859
Pension costs	931	323
	<u>69,948</u>	<u>24,381</u>
	<u> </u>	<u> </u>

No individual company in the Group has an average number of employees in excess of 2,000.

Defined contribution pension scheme

The Group operates a defined contribution pension scheme. The pension cost charge for the year represents contributions payable by the Group to the scheme and amounted to £277k. Contributions amounting to £133k were payable to the scheme and are included in creditors.

Notes (continued)

5.(a) Remuneration of directors

All directors' emoluments were incurred by subsidiaries within the Group. Their services to Grain Topco Limited, as a parent company, is inconsequential to attract a notional charge.

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Directors' remuneration	1,382	568
Company contributions to money purchase pension plans	14	6
	<u>1,396</u>	<u>574</u>

The aggregate of remuneration of the highest paid director was £299,798 (2022: £109,203).
Retirement benefits are accruing to the following number of directors under:

Money purchase schemes	4	4
------------------------	---	---

6. Finance income and expense

Recognised in profit or loss

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
<i>Finance income</i>		
Amounts receivable on cash and cash equivalents	51	-
Gain on fair valuation of derivative	1,216	-
	<u>1,267</u>	<u>-</u>
Total finance income	<u>1,267</u>	<u>-</u>
<i>Finance expense</i>		
Interest expense on bank loan	7,555	1,608
Interest expense on preference shares	14,251	6,970
Interest expense on lease liabilities	3,886	931
	<u>25,692</u>	<u>9,509</u>
Total finance expense	<u>25,692</u>	<u>9,509</u>
Net finance expense	<u>24,425</u>	<u>9,509</u>

7. Taxation

	12 months to 28 Feb 2023 £000	5 months to 28 Feb 2022 £000
Current tax expense		
Current year	1,438	1,303
Deferred tax expense		
(Reversal) / origination of timing difference	(189)	3
Adjustment in respect of previous years	1,253	-
	<u>1,064</u>	<u>3</u>
Deferred tax	<u>1,064</u>	<u>3</u>
Total tax expense	<u>2,502</u>	<u>1,306</u>

Notes (continued)

7. Taxation (continued)

Reconciliation of effective tax rate

The tax assessed on the profit on ordinary activities for the year is higher than the standard rate of corporation in the UK of 19%.

	12 months to 28 Feb Feb 2023 £000	5 months to 28 Feb 2022 £000
Loss for the period	(15,401)	(11,222)
Total tax expense	2,502	1,306
Loss excluding taxation	<u>(12,899)</u>	<u>(9,916)</u>
Tax using the UK corporation tax rate of 19.00%	(2,451)	(1,884)
Non-deductible expenses:		
Interest on preference shares	2,708	1,324
Exceptional costs	(136)	1,258
Amortisation of intangibles	636	265
Other Non-deductible expenses	17	12
Deferred tax rate changes	(45)	49
Fixed asset differences	380	181
Other short term timing differences	25	101
Corporate interest restriction	115	-
Adjustment in respect of prior periods	1,253	-
Total tax expense	<u>2,502</u>	<u>1,306</u>

A UK corporation tax rate of 19% was effective 1 April 2020. The deferred tax liability at 28 February 2023 has been calculated at 25% (2022: 25%). In the 3 March 2021 Budget it was announced that the UK tax rate will increase to 25% from 1 April 2023. This will have a consequential effect on the Company's future tax charge.

8. Property, plant and equipment

	Freehold property £000	Improvement to property and short leasehold £000	Plant and machinery £000	Motor vehicles £000	Fixtures & fittings £000	Computer Equipment £000	Total £000
Cost							
Balance at 1 March 2022	2,112	64,404	5,400	879	7,065	1,220	81,080
Additions	-	21,711	4,355	674	6,863	659	34,262
Remeasurements	-	378	-	-	-	-	378
Balance at 28 February 2023	<u>2,112</u>	<u>86,493</u>	<u>9,755</u>	<u>1,553</u>	<u>13,928</u>	<u>1,879</u>	<u>115,720</u>

Notes (continued)

8. Property, plant and equipment (continued)

	Freehold property £000	Improvement to property and short leasehold £000	Plant and machinery £000	Motor vehicles £000	Fixtures & fittings £000	Computer Equipment £000	Total £000
Depreciation							
Balance at 1 March 2022	11	3,015	673	113	642	234	4,688
Depreciation charge for the year	11	8,875	2,141	290	2,891	979	15,187
Balance at 28 February 2023	22	11,890	2,814	403	3,533	1,213	19,875
Net book value							
At 28 February 2022	2,101	61,389	4,727	766	6,423	986	76,392
At 28 February 2023	2,090	74,603	6,941	1,150	10,395	666	95,845

Property, plant and equipment includes right-of-use assets with carrying amounts as follows:

	Improvement to property and short leasehold £000	Plant and Machinery £000	Motor Vehicles £000	Total £000
Balance at 1 March 2022	43,443	6	15	43,464
Additions	12,031	-	-	12,031
Remeasurements	378	-	-	378
Depreciation	(6,258)	(4)	(6)	(6,268)
Balance at 28 February 2023	49,594	2	9	49,605

Notes (continued)

9. Intangible assets

	Software £000	Goodwill £000	Brand £000	Customer Related £000	Total £000
Cost					
Balance at 1 March 2022	608	133,126	58,732	3,592	196,058
Additions	339	-	-	-	339
Balance at 28 Feb 2023	947	133,126	58,732	3,592	196,397
Amortisation					
Balance at 1 March 2022	119	-	1,246	150	1,515
Amortisation for the year	65	-	2,677	359	3,101
Balance at 28 Feb 2023	184	-	3,923	509	4,616
Net book value					
At 28 February 2022	489	133,126	57,486	3,442	194,543
At 28 February 2023	763	133,126	54,809	3,083	191,781

Software includes third party costs for ERP software and EPOS applications

Brand is cost attributed to external brands on acquisition of businesses

Customer relations is the cost attributed to existing relationships with customers upon acquisition of businesses

Amortisation

The amortisation charge is recognised within administrative expenses in the income statement in each financial year.

Impairment review

Goodwill considered significant in comparison to the Group's total carrying amount of such assets have been allocated to cash generating units or groups of cash generating units as follows:

	£000
Retail	74,726
Wholesale	58,400
	133,126

Notes (continued)

9. Intangible assets (continued)

Impairment assessment

Annual impairment review of both retail and wholesale CGU was carried out and the recoverable amount of both the retail and wholesale CGU was calculated by taking into account the performance of the business in the 18 months period post acquisition. As a result of the review performed no impairment was identified and the estimated recoverable amount of the CGU's exceeded their carrying values.

The estimated recoverable amount of the CGUs exceeded their carrying amount by approximately:

- Retail £7.68m
- Wholesale £8.33m.

10. Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities. Deferred tax liabilities are attributable to the following:

	28 February 2023	28 February 2022
	£000	£000
Accelerated capital allowances	(1,177)	28
Short term timing differences	(33)	(176)
Other deferred tax	(15,825)	(15,823)
	<u>(17,035)</u>	<u>(15,971)</u>

	28 February 2023	28 February 2022
	£000	£000
<i>Movement in deferred tax provision:</i>		
Net liability at start of period	(15,971)	-
Deferred tax at acquisition	-	(15,823)
Movement in deferred tax in period	(1,064)	(148)
Net liability at end of period	<u>(17,035)</u>	<u>(15,971)</u>

11. Inventories

	2023	2022
	£000	£000
Raw materials and consumables	<u>2,505</u>	<u>1,804</u>

Raw materials recognised as cost of sales in the year amounted to £39.9m.

Notes (continued)

12. Trade and other receivables

	2023	2022
	£000	£000
Trade receivables	6,235	4,403
Prepayments	1,685	1,117
Other receivables	177	1,820
	<u>8,097</u>	<u>7,340</u>

13. Cash and cash equivalents

	2023	2022
	£000	£000
Cash and cash equivalents	<u>8,767</u>	<u>15,271</u>

14. Lease liabilities

	2023	2022
	£000	£000
Opening balance	44,498	-
Lease liabilities at acquisition	-	39,021
Additions during the year	12,031	5,669
Interest relating to lease liabilities	3,887	931
Remeasurement of lease liabilities	378	170
Disposal of lease liabilities	-	-
Payment of lease liabilities	(6,571)	(1,293)
At 28 February	<u>54,223</u>	<u>44,498</u>
Lease liabilities due within one year	<u>4,456</u>	<u>3,081</u>
Lease liabilities due in more than one year	<u>49,767</u>	<u>41,417</u>

The Group primarily uses leases to finance the use of retail premises.

15. Other interest bearing loans and borrowings

This note provides information about the contractual terms of the Group's interest-bearing loans and borrowings, which are measured at amortised cost. For more information about the Group's exposure to interest rate risk, see note 19.

	2023	2022
	£000	£000
Non-current liabilities		
Secured bank loans	108,962	63,700
Redeemable preference shares	100,757	144,223
Accrued interest on redeemable preference shares	21,222	6,970
Preference share interest paid	(2,647)	-
	<u>228,294</u>	<u>214,893</u>

Notes (continued)

15. Other interest bearing loans and borrowings (continued)

Redeemable preference shares

In the prior period, 144,223,376 redeemable preference shares were issued as fully paid with a par value of £1 per share. The redeemable preference shares are redeemable by the Company and the Group is obliged to pay holders of these shares annual dividends of 12% of the par amount until and including on maturity. Redeemable preference shares do not carry the right to vote. On 6 June 2022, 43,465,911 preference shares were redeemed. During the period, £2.6m interest was paid, and £14.3m of interest was accrued.

Bank Loans

During the year (6 June 2022), the Group extended its bank loan facility to £109m, with a further £5m capex facility available for drawdown. In January 2023, £2.5m of this facility was subsequently drawn down. On the 14 September 2022, the Group entered into a swap arrangement effective 5 October 2022 with Rabobank. The base interest rate (pre margin) is fixed at + 3.856% on the £109m loan. The swap transaction is due to terminate on the 5 October 2028. This is an all-asset debenture, where collateral is held, that has fixed charges over property and fixed assets, and floating charges over receivables and inventory.

	2023 £000	2022 £000
Bank Loan	108,962	63,700
	<u>108,962</u>	<u>63,700</u>
	2023 £000	2022 £000
<i>Analysis of maturity of bank loan:</i>		
Within 1 year or on demand	-	-
Between 2 and 5 years	-	-
After 5 years	108,962	63,700
	<u>108,962</u>	<u>63,700</u>

16. Trade and other payables

	2023 £000	2022 £000
Trade payables	7,208	7,059
Other payables and accrued expenses	12,633	8,652
Other taxation and social security	1,390	1,122
Finance Lease Liabilities	4,456	3,081
Corporation tax	4,944	5,321
	<u>30,631</u>	<u>25,235</u>

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Notes (continued)

17. Provisions

	Dilapidation
	2023
	£000
Balance at 1 March 2023	517
Provisions used during the year	-
Balance at 28 February 2023	517

Dilapidation provisions represent the anticipated cost of returning leasehold premises to their original condition at the termination of the lease. The provisions are expected to crystallise prior to the end of the lease. A discount rate of 8.7% has been used to calculate the present value.

18. Capital and reserves

Share capital

	Ordinary Shares	Ordinary Shares
	2023	2022
	£000	£000
On issue at 1 March	946	-
Issue of shares	12	946
On issue at 28 February 2023	958	946

During the year, 120,185 Ordinary C shares of £0.10 were allotted and fully paid. The shares were subscribed at £1 per share. During the year, 22,500 A Ordinary shares were re-designated into 22,500 B Ordinary shares.

	2023	2023
	Number	£000
Authorised, allotted, called up		
Ordinary 'A' shares of £0.10 – fully paid	6,700,810	670
Ordinary 'B' shares of £0.10 – fully paid	889,896	89
Ordinary 'C' shares of £0.10 – fully paid	988,203	99
Ordinary 'C1' shares of £1 – 50% paid	100,000	100
Shares classified in shareholders' funds	8,678,909	958
Preference Shares of £0.01 – fully paid	100,757,465	100,757

On 6 June 2022, 43,465,911 preference shares were redeemed.

During the year 28 February 2023, £14.251m of interest was accrued on the preference shares.

Notes (continued)

18. Capital and reserves (continued)

The holders of Ordinary shares are entitled to receive dividends as declared and are entitled to one vote per share at general meetings of the Company. Of the C1 shares, £50k has been paid and a further £50k remains due from a member of senior management at the end of the year.

Non-cash consideration share purchases

- 1,314,395 A Ordinary shares of £0.10 each at subscription price £1 per share were issued in exchange for the transfer of £1,314,395 unsecured loan notes in the capital of Grain Midco Limited.
- 867,395 B Ordinary shares of £0.10 each at subscription price £1 per share were issued in exchange for the transfer of £867,395 unsecured loan notes in the capital of Grain Midco Limited.
- 868,018 C Ordinary shares of £0.10 each at subscription price £1 per share were issued in exchange for the transfer of £868,018 unsecured loan notes in the capital of Grain Midco Limited.
- 36,055,098 Preference shares of £0.10 each were issued to certain shareholders at a subscription price of £1 per share in exchange for £36,055,098 unsecured loan notes in the capital of Grain Midco Limited. Preference shares are held within creditors.

19. Financial instruments

Fair value

The table below analyses financial instruments, into a fair value hierarchy based on the valuation technique used to determine fair value.

	Carrying amount 2023 £000	Fair value 2023 £000
Financial assets		
Cash and cash equivalents	8,767	8,767
Trade receivables	6,235	6,235
Other Investments, Including derivatives	1,216	1,216
Financial liabilities		
Interest bearing loans and borrowings	228,294	228,294
Lease liabilities	54,223	54,223
Trade and other payables	26,175	26,175
Provisions	517	517

Other investments, including derivatives is made up of the interest rate swap taken out during the year, which was marked to market and held as an asset at fair value as at 28 Feb 2023.

Trade and other payables include trade payables, accrued expenses, and corporation and other taxation

Notes (continued)

19.(a) Fair value of financial instruments

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices)
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

At 28 February 2023, the Group held all financial instruments at level 2.

19.(b) Credit risk

Financial risk management

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and cash held at financial institutions. Retail sales represent a proportion of the Group's sales and present no credit risk as they are paid for at point of sale. Where credit sales are concerned the Group operates effective credit control procedures in order to minimise exposure to overdue debts. The Group has written credit control policies which cover procedures for accepting new customers, setting credit limits, dealing with overdue amounts and delinquent payers. An impairment loss provision against trade receivables is created where it is anticipated that the value of trade receivables is not fully recoverable.

The concentration of credit risk for trade receivables at the balance sheet date by business segment was:

	2023 £000
Retail	983
Wholesale	5,252
	6,235

Exposure to credit risk

The maximum exposure to credit risk at the balance sheet date by class of financial instrument was;

	2023 £000
Trade receivables	6,235
Cash and cash equivalents	8,767
	15,002

Notes (continued)

19. Financial instruments (continued)

Credit quality of financial assets and impairment losses

Cash and cash equivalents include amounts held with banking institutions with good reputations and are therefore considered recoverable. The aging of trade receivables at the balance sheet date was:

	Gross 2023 £000	Impairments 2023 £000
Not past due	5,774	-
Past due 0-30 days	267	(40)
Past due 31 - 120 days	110	(98)
More than 120 days	84	(84)
	<u>6,235</u>	<u>(222)</u>

The movement in the allowance for impairment in respect of trade receivables during the year was as follows:

	2023 £000
Opening balance	404
Provision created during the year	23
Provision utilised during the year	(205)
Balance at 28 February	<u>222</u>

The allowance account for trade receivables is used to record impairment losses unless the Group is satisfied that no recovery of the amount owing is possible; at that point the amounts considered irrecoverable are written off against the trade receivables directly. The Group consider the trading status of the owing company along with the legal right to receive the funds before considering an amount irrecoverable.

19.(c) Financial risk management

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due.

The Group's approach to managing liquidity is to hold cash and cash equivalents and maintain undrawn committed facilities at a level sufficient to ensure that the Group has available funds to meet its liabilities as they become due.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding the effect of netting agreements:

	2023 £000	2022 £000
Liabilities:		
Trade and other payables	26,175	22,154
Interest bearing loans and borrowings	228,294	214,893
Lease liabilities	54,223	44,498
Provisions	517	517
	<u>309,209</u>	<u>282,062</u>

Notes (continued)

19. Financial instruments (continued)

The maturities of the trade and other payables, and finance lease liabilities are detailed below:

Liability	Due within 1 year	Due within 2 to 5 years	Due in more than 5 years	Total
Trade and other payables	21,231	-	-	21,231
Lease liabilities	4,456	20,803	28,964	54,223

The maturities of the interest-bearing loans and borrowings are disclosed in note 15.

19.(d) Market risk

Financial risk management

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments.

All of the Group's operations and customers are based in the UK. Foreign currency risk is not a principal risk. A small number of suppliers are based in Europe so a Euro currency bank accounts are maintained. Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the statement of financial position date are translated at the foreign exchange rate ruling at that date. Foreign exchange differences arising on translation are recognised in the income statement.

During the year, the group entered a SWAP arrangement, mitigating the risk of interest rate fluctuations. The interest rates are fixed on the bank loan, and the preference share interest is also fixed.

The non-sterling cash profile at the year-end was:

	2023
	£000
Currency:	
Euro	13

19.(e) Capital management

Capital comprises total equity as shown in the statement of financial position. The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain the future development of the business. The Group manages its capital structure and makes adjustments to it in light of the economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

There were no changes to the Group's approach to capital management during the year and neither the Company nor any of its subsidiaries are subject to externally imposed capital requirements.

There were no changes to the Group's approach to capital management during the year and neither the Company nor any of its subsidiaries are subject to externally imposed capital requirements.

20. Commitments

Capital commitments

As at 28 February 2023, the group had capital commitments relating to new store openings totalling £402,831.

Notes (continued)

21. Related parties

Identity of related parties with which the Group has transacted.

Included within the redeemable preference share creditor are amounts of £52,029,335 due to Bain Capital Credit Member II Limited, £30,525,462 due to McWin SRO and £20,211,953 due to L Johnson. Included within the accruals creditor are amounts of £245,000 due to Bain Capital Credit Member II Limited, £245,000 due to McWin SRO and £110,000 due to L Johnson.

An amount of £50,000 remains receivable from a director relating to unpaid share capital.

Transactions with key management personnel:

Transactions with Directors

Directors of the Company control 26.3% of the voting shares of the Company.

The compensation of the directors is as follows:

	12 months to 28 Feb 2023	5 months to 28 Feb 2022
	£000	£000
Key management emoluments including social security costs	1,396	568

The total amount paid to the highest paid director in respect of emoluments was £299,798 (2022: £109,203).

22. Ultimate parent company and parent company of larger group

The directors do not consider there to be one ultimate controlling party.

Company Balance Sheet

at 28 February 2023

	Note	2023 £000	£000	2022 £000
Fixed assets				
Investments	24		<u>123,816</u>	<u>123,816</u>
Current assets				
Debtors	25	31,194		28,921
Cash and cash equivalents		<u>3,525</u>		<u>44</u>
		34,719		28,965
Creditors: amounts falling due within one year	26	(833)		(200)
Net current assets			<u>33,886</u>	<u>28,765</u>
Total assets less current liabilities			<u>157,702</u>	<u>152,581</u>
Creditors: amounts falling due after more than one year	27		(119,331)	(151,193)
Net assets			<u><u>38,371</u></u>	<u><u>1,388</u></u>
Capital and reserves				
Called up share capital	28		958	946
Share premium account			7,721	7,612
Profit and loss account			29,692	(7,170)
Shareholders' funds			<u><u>38,371</u></u>	<u><u>1,388</u></u>

These financial statements were approved by the board of directors on 30 August 2023 and were signed on its behalf by:



T Molnar
Director
Company registered number: 13572366

The related notes on pages 44 to 47 form part of these financial statements.

Company Statement of Changes in Equity

for the year ended 28 February 2023

	Share capital £000	Share premium £000	Retained Earnings £000	Total equity £000
Balance at 1 March 2022	946	7,612	(7,170)	1,388
Total comprehensive income for the year				
Profit or loss	-	-	36,862	36,862
Total comprehensive income for the year	-	-	36,862	36,862
Transactions with owners, recorded directly in equity				
Issue of shares	12	109	-	121
Total contributions by and distributions to owners	12	109	-	121
Balance at 28 February 2023	958	7,721	29,692	38,371

The related notes on pages 44 to 47 form part of these financial statements.

Notes (forming part of the financial statements)

23. Accounting policies (company)

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the financial statements, except as noted below.

Basis of preparation

The financial statements have been prepared in accordance with applicable accounting standards, and under the historical cost accounting rules. Under section s408 of the Companies Act 2006 the company is exempt from the requirement to present its own profit and loss account.

These parent company accounts were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland (*FRS 102*).

The parent company is considered to be a qualifying entity under FRS 102 paragraphs 1.8 to 1.12. The following exemptions available under FRS 102 have been applied:

- The reconciliation of the number of shares outstanding from the beginning to the end of the year has not been included.
- No separate parent company cash flow statement with related notes is included.

Individual statement of comprehensive income

As permitted by Section 408 of the Companies Act 2006, the Statement of Comprehensive Income of the parent company is not presented as part of these financial statements.

The profit for the parent company for the period was £36.9m, arising primarily from an intercompany dividend of £49.5m. The company has no Other Comprehensive Income.

Investments

Investments in subsidiary undertakings, associates and joint ventures are stated at cost less amounts written off.

Taxation

The charge for taxation is based on the profit for the year and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred tax is recognised, without discounting, in respect of all timing differences between the treatment of certain items for taxation and accounting purposes which have arisen but not reversed by the balance sheet date, except as otherwise required by FRS 102.

Dividends on shares presented within shareholders' funds.

Dividends are only recognised as a liability to the extent that they are declared prior to the year end. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

Interest bearing borrowings

Immediately after issue debt is stated at the fair value of the consideration received on the issue of the capital instrument after deduction of issue costs. The finance cost of the debt is allocated to years over the term of the debt at a constant rate on the carrying amount.

Going concern

The company financial statements have been prepared under the going concern basis which assumes the company will continue in operational existence for the foreseeable future. The directors believe that it is appropriate for the financial statements to be prepared on a going concern basis given the overall position of the Group and the factors described on page 19.

Notes (continued)

24. Fixed assets investments

<i>Cost</i>	£000
At beginning and end of year	<u>£123,816</u>

The undertakings in which the company holds an interest at the year end are as follows:

	Country of incorporation	Class of share capital held	Proportion of share capital held	Nature of business
<i>Subsidiary undertakings</i>				
Grain Midco Limited	England & Wales	Ordinary	100%	Holding company
Grain Bidco Limited*	England & Wales	Ordinary	100%	Holding company
Bread Holdings Limited*	England & Wales	Ordinary	100%	Holding company
Bread Acquisitions Limited*	England & Wales	Ordinary	100%	Holding company
Bread Limited*	England & Wales	Ordinary	100%	Holding company
Bread Factory Limited*	England & Wales	Ordinary	100%	Wholesale bakery
Gail's Limited*	England & Wales	Ordinary	100%	Retail bakery
The Bread Roll Holding Company Limited*	England & Wales	Ordinary	100%	Holding Company
The Bread Roll Company Limited*	England & Wales	Ordinary	100%	Wholesale bakery
DSV Holdings Limited*	England & Wales	Ordinary	100%	Holding Company
The Bertinet Bakery Limited	England & Wales	Ordinary	100%	Wholesale bakery
<i>Joint Venture</i>				
Wild Thexton Gluten Free Limited*	England & Wales	Ordinary	50%	Wholesale bakery

* Held indirectly

These subsidiaries are controlled and consolidated by the Group and the Directors have taken the exemption from having an audit of its financial statements for the year ended 28 February 2023. This exemption is taken in accordance with the Companies Act s479A.

Notes (continued)

25. Debtors

	2023	2022
	£000	£000
Amounts owed by group undertakings	31,159	28,846
Other debtors	35	75
	<u>31,194</u>	<u>28,921</u>

26. Creditors: amounts falling due within one year

	2023	2022
	£000	£000
Accruals and deferred income	833	200
	<u>833</u>	<u>200</u>

27. Creditors: amounts falling due after more than one year

	2023	2022
	£000	£000
Redeemable preference shares b/f	151,193	144,223
Interest accrued on preference shares	14,251	6,970
Interest paid	(2,647)	-
Preference shares redeemed	(43,466)	-
	<u>119,331</u>	<u>151,193</u>

In the prior period, 144,223,376 redeemable preference shares were issued as fully paid with a par value of £1 per share. The redeemable preference shares are redeemable by the Company and the Group is obliged to pay holders of these shares annual dividends of 12% of the par amount until and including on maturity. Redeemable preference shares do not carry the right to vote. On 6 June 2022, 43,465,911 preference shares were redeemed.

Notes (continued)

28. Share premium and other reserves

	Share Capital £000	Share Premium £000
Shares at start of year	946	7,612
Shares issued in year	12	109
At end of year	958	7,721

During the year, 120,185 Ordinary C shares of £0.10 were allotted and fully paid. The shares were subscribed at £1 per share.
During the year, 22,500 A Ordinary shares were re-designated into 22,500 B Ordinary shares.

During the year, 22,500 A Ordinary shares were re-designated into 22,500 B Ordinary shares.

29. Contingent liabilities

There is cross guarantee for all external debt across the Group. This guarantee holds all companies jointly and severally liable for external loan liabilities.

30. Ultimate controlling party

The directors do not consider there to be one ultimate controlling party.